

In the FI community, we generally define “FI” as the point when you have investable assets equal to twenty-five times your annual expenses. This is based on the 4% Rule, which is discussed in more detail in Chapter 12. The amount you need to achieve FI is based on what you spend. For every \$1,000 you spend each year, you need to accumulate \$25,000 to sustain that spending from an investment portfolio. Conversely, every \$1,000 you can cut from your annual spending is \$25,000 you don’t have to accumulate to achieve FI.

The wealth required to achieve FI is relative. A person who has a million dollars and can live well on \$30,000 annually would almost certainly be able to maintain this lifestyle forever without running out of money. A person who has a million dollars but “needs” \$150,000 to maintain their lifestyle would likely run out of money in a decade or less.

MMM used conservative assumptions to demonstrate that your savings rate can predict how long it will take to achieve FI. Below is a chart adapted from “The Shockingly Simple Math Behind Early Retirement” that shows how long it takes to reach FI, as a function of your savings rate.